

Pearson Edexcel Level 3 GCE

Practice Paper (Advanced)

Economics A

Advanced Subsidiary

PAPER 1: Introduction to Markets and Market Failure

Time allowed: 1 hour 30 minutes

Total marks: 80

Calculators: May be used

Instructions

- Use black ink or ball-point pen.
- There are two sections in this question paper.
- Answer ALL questions in Section A.
- In Section B, answer ALL of questions 6(a) to 6(e) and ONE question from 6(f) or 6(g).
- Answer the questions in the spaces provided.

Information

- The total mark for this paper is 80.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.
- Calculators may be used.

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 25 minutes on this section.

1 Adam Smith argued that the productivity of an economy can be increased through specialisation and the division of labour. In Smith's famous example of a pin factory, ten workers performing specialised tasks could produce 48,000 pins per day, whereas if each worker completed every stage themselves they could produce only a few hundred.

(a) With reference to the information provided, explain **one** advantage of the division of labour. **(3)**

(b) Which **one** of the following is **most likely** to be a **disadvantage** of the division of labour for workers? **(1)**

- A Higher output per worker
- B Lower training time per worker
- C Repetitive tasks leading to boredom and low motivation
- D The opportunity to use specialised capital equipment

(Total for Question 1 = 4 marks)

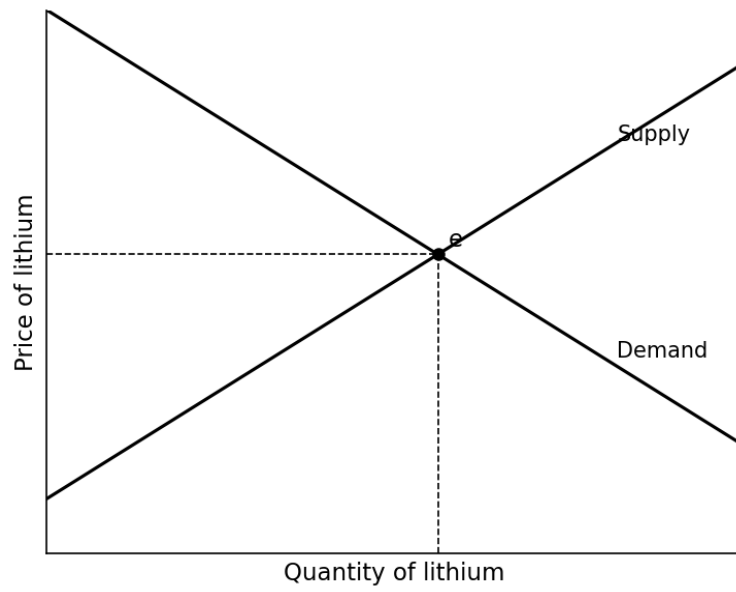
2 Lithium is a key raw material for the batteries used in electric vehicles. In 2022, the global price of lithium carbonate rose from approximately \$17,000 per tonne to a peak of \$80,000 per tonne, driven by surging demand from electric vehicle manufacturers.

(a) Define the term '**equilibrium price**'. **(1)**

(b) Which **one** of the following is most likely to cause an **outward (rightward) shift** of the production possibility frontier of a lithium-producing economy? **(1)**

- A A fall in the world price of lithium
- B A new technology that doubles the yield of lithium per tonne of ore
- C An earthquake that damages lithium mines
- D An increase in unemployment in the mining sector

(c) Annotate the diagram below to show the effect of a sharp rise in demand for electric vehicles on the market for lithium. **(2)**



(Total for Question 2 = 4 marks)

3 Cuba is often cited as an example of a command economy. The Cuban government owns the majority of productive resources and centrally plans the allocation of goods such as food, fuel and housing.

- (a) Which **one** of the following statements about a **command economy** is true? **(1)**
- A It was advocated by Adam Smith
 - B Prices are determined entirely by supply and demand
 - C The state plays the dominant role in allocating resources
 - D There is no public sector

In 2024, Cuba experienced widespread shortages of essential goods, with queues of several hours reported outside state-owned shops. Economists have suggested that the absence of a functioning price mechanism is a key cause of these shortages.

- (b) With reference to the information above, explain **one** weakness of a command economy compared with a free market economy. **(3)**

(Total for Question 3 = 4 marks)

4

Statement 1

In 2024, global electric vehicle sales accounted for 18% of all new car sales worldwide.

Statement 2

Governments ought to ban the sale of all new petrol and diesel cars by 2030 to combat climate change.

- (a) Which **one** of the following best describes the two statements above? **(1)**

	Statement 1	Statement 2
■ A	Normative	Normative
■ B	Normative	Positive
■ C	Positive	Normative
■ D	Positive	Positive

In 2024, the UK government allocated £2 billion in grants to support the rollout of electric vehicle charging points. This represented an increase compared with the previous year, but other infrastructure budgets, including rail upgrades, were reduced accordingly.

- (b) With reference to the information above, explain what is meant by '**opportunity cost**'. **(3)**

(Total for Question 4 = 4 marks)

5 Sales of organic food in the UK reached £3.2 billion in 2023. Following a 3.8% fall in real disposable income in 2024, market analysts estimated that demand for organic food in the UK fell from 1.6 million tonnes to 1.4 million tonnes over the same period.

(a) *Ceteris paribus*, calculate the income elasticity of demand for organic food in the UK. You are advised to show your working. **(2)**

(b) Define the term '**luxury good**'. **(1)**

(c) Which **one** of the following statements about a good with a **negative income elasticity of demand** is true? **(1)**

- A Demand falls as price rises
- B Demand falls as the price of a substitute rises
- C Demand rises as consumer income falls
- D The good is a luxury

(Total for Question 5 = 4 marks)

TOTAL FOR SECTION A = 20 MARKS

SECTION B

Read Figure 1 and the following extracts (A, B and C) before answering Question 6.

Answer ALL Questions 6(a) to 6(e) and EITHER Question 6(f) OR Question 6(g).

You are advised to spend 1 hour 5 minutes on this section.

Question 6

The market for road transport and air pollution in the UK

Figure 1: Number of vehicles entering the London Ultra Low Emission Zone (ULEZ) on a typical weekday that do not meet emission standards (thousands), 2019–2024

Year	2019	2020	2021	2022	2023	2024
Non-compliant vehicles (thousands)	165	120	82	54	39	31

Extract A

The expansion of London's Ultra Low Emission Zone

The Ultra Low Emission Zone (ULEZ) was introduced in central London in 2019 and expanded to cover the whole of Greater London in August 2023. Drivers of older, more polluting petrol and diesel vehicles must now pay a daily charge of £12.50 to enter the zone. The Mayor of London argued that the scheme would save lives by reducing exposure to harmful nitrogen dioxide and fine particulate matter, particularly among children and the elderly.

Transport for London reported that nitrogen dioxide concentrations in central London fell by 49% in the four years following the introduction of the original zone. The number of non-compliant vehicles entering the central zone has fallen from 165,000 per weekday in 2019 to 31,000 in 2024.

However, the scheme has been controversial. Critics argue that it disproportionately affects low-income drivers who cannot afford to upgrade their vehicles. With real household incomes in outer London falling by 1.9% in 2024, demand for second-hand compliant vehicles is forecast to rise from 62,000 to 78,000 this year.

(Source adapted from publicly available data)

Extract B

Fuel duty and the cost of driving

UK fuel duty, which adds approximately 53p per litre to the pump price of petrol and diesel, is one of the longest-standing examples of an environmental tax. It is designed to internalise some of the external costs of driving, including air pollution, carbon emissions and road congestion. Each tonne of CO₂ emitted from a UK car is estimated to impose external costs of around £75 on society.

Despite this, fuel duty has been frozen since 2011 and was further reduced by 5p per litre in 2022. The Office for Budget Responsibility estimates that these freezes and cuts have cost the Treasury more than £100 billion in foregone tax revenue. AA spokesperson Mark Davies commented: "Drivers face high costs and any rise in fuel duty would simply be passed on, fuelling inflationary pressure across the supply chain." Hauliers and rural communities, which are particularly dependent on road transport, would be the most affected.

(Source adapted from publicly available data)

Extract C

Encouraging the switch to cleaner travel

Research conducted in three UK cities investigated which interventions are most effective at persuading commuters to switch from private car journeys to cleaner alternatives such as cycling, walking and public transport.

Providing subsidised season tickets for buses and trains increased public transport use by 5.1%. Building segregated cycle lanes increased cycling rates by 3.6%. Information campaigns highlighting the air-quality benefits of cleaner travel increased active travel by 1.9%. By contrast, voluntary pledge schemes had no measurable impact on travel behaviour.

"Each measure on its own produces only a modest behavioural change, but when these interventions are combined the cumulative impact is significant," said Dr. Rachel Owusu of the Centre for Transport Research.

(Source adapted from publicly available data)

6 (a) Explain what is meant by 'inflationary pressure across the supply chain' (Extract B, line 11) in the context of a possible rise in fuel duty. **(5)**

(b) With reference to Extract A and your own knowledge, assess the view that the ULEZ daily charge is an effective way to reduce air pollution in London. **(10)**

(c) With reference to Extract A, explain the likely numerical value for the income elasticity of demand for second-hand compliant vehicles. **(4)**

(d) With reference to Extract C, explain how subsidies for public transport season tickets may lead to a fall in demand for private car journeys. **(6)**

(e) Discuss the likely private costs and external costs of the use of petrol and diesel cars in UK cities. **(15)**

EITHER

(f) Evaluate the likely impact of an increase in UK fuel duty on consumers and producers. Use a diagram to support your answer. **(20)**

OR

(g) Evaluate methods of government intervention which could be used to reduce the market failure associated with urban air pollution from road transport. Use a diagram to support your answer. **(20)**

Indicate which question you are answering by marking a cross in the box. Chosen question number: ☐ Question 6(f) ☐ Question 6(g)

(Total for Question 6 = 60 marks)
TOTAL FOR SECTION B = 60 MARKS
TOTAL FOR PAPER = 80 MARKS